

to be eligible for distributions, and then only for education, business, and career advancement. It's the role of the Family Council to make these distributions. It is also the job of the Family Council to determine that beneficiaries are abiding by the terms of the trust.

If members of the Family Council are also beneficiaries of the trust, they need to fully understand their role as beneficiaries. They should also understand the role of the trustee and meet with him.

Let's back up for a moment and explain the big-picture strategy behind the endowment model.

HOW MULTIGENERATIONAL FAMILIES GROW THEIR WEALTH

The endowment model is a family office organizational structure in which family assets are held in a perpetual trust. Assets are distributed by the Family Council only for the purpose of funding productive family-member projects. The model helps hold and preserve the family wealth, instead of distributing it. This, in turn, helps hold the family together by keeping their financial interests united. And the model helps future generations be more successful by making resources available, while neither undermining them nor robbing them of their own need to work and support themselves. Only family members engaged in "productive behavior" are eligible to sit on the Family Council.

Of course, the council will make mistakes. And there will be conflicts. But in regularly coming together to make decisions and discuss problems, the council helps preserve family unity for the long term.

It's not easy. Preserving family wealth for multiple generations is not a science. It's an art. You're dealing with dozens of people with all kinds of complex psychological issues, relationships, and agendas. It's critical that you get everyone organized and on the same page. You need a self-perpetuating culture of prosperity. Or, to put it another way, you need to